



MESSAGE FROM OUR CEO AND BOARD CHAIR

At Blackline Safety, we have always focused on initiatives that help embed greater resiliency and adaptability into our overall business model and safeguard the value we have created. Our investments in talent, environmental sustainability and protection, a strong and flexible supply chain and various risk mitigation programs build a better company – and a better world.

Throughout 2021, we focused on advancing our ESG initiatives through target setting and execution, improved disclosure and community engagement to deliver robust operations that support

sustainable, long-term growth. In so doing, we also align with the ESG value we have always brought to our customers through our connected safety technology that saves lives and enhances operational performance.

2021 ESG ACHIEVEMENTS

- Grew a diverse and inclusive workforce, with 30% ethnic representation—an increase of 6% year-over-year—and an 8% increase in women in management. To further build a culture of belonging and inclusion, the company will increase its engagement with underrepresented groups as part of recruitment and increase mentorship support and leadership opportunities.
- Improved overall employee engagement to 76%, while nearly doubling the global workforce, and continued to expand training and development opportunities and comprehensive benefits coverage including \$5,000 mental health support for Canadian employees.
- Collected over 170 billion data points to date through Blackline Live, upheld by the highest standards of data security and privacy measures in line with GDPR and SOC 2 compliance.
- Doubled community investment year-over-year and tripled the number of nonprofits supported, with areas of support to organizations aligned to the company's vision.
- Increased roster of vendors by sourcing alternates as much as possible, to mitigate risk obtaining materials and foster greater diversity and resiliency in the company's supply chain.

While we are proud of these achievements, we recognize there is always room to do more. To that end, we have added ambitious short, medium and long-term goals and targets across many of our material ESG focus areas, outlined in greater detail in this report.

NET-ZERO BY 2023

Most notably, as we continue to evolve our ESG strategy to create value for all our stakeholders—from employees to customers to investors—we have set a bold objective to be a net-zero emissions company by 2023, contributing to the net-zero goals of our customers, investors and our society. Climate change presents a significant environmental and financial risk to the global economy and we have a collective role to play in protecting our planet. Through the past year we calculated Scopes 1, 2 and 3 GHG emissions to establish a baseline and identify key levers to achieve our net-zero goal. Our strategy outlines several pathways including reducing our energy inputs through lean and efficient manufacturing, turning to renewable sources as much as possible, investing in carbon offsets, minimizing our waste, and seeking diversity in the supply chain.

I encourage you to read the full report for more information on our climate change plan and other initiatives. Blackline Safety's history of innovation, experience supporting the ESG efforts of our customers, and the ingenuity of our people leave us well-positioned for what lies ahead. As we move forward in our ESG journey, we are excited to build on our strategy and update stakeholders on our performance and progress. I want to personally thank everyone at Blackline Safety for their role in this critical and worthy work and I am confident about what we can achieve together.



Cody Slater

Chief Executive Officer & Chair



MESSAGE FROM OUR GOVERNANCE, COMPENSATION AND SUSTAINABILITY COMMITTEE CHAIR

Now, more than ever, product, business and organizational strategy needs to incorporate ESG performance in line with both rising stakeholder expectations and delivering responsible growth and long-term shareholder value creation. As a Board, it is a key priority area.

Continuing my second year as Lead Independent Director and Chair of the Governance, Compensation and Sustainability Committee, I am pleased with the progress made in Blackline

Safety's fiscal 2021 ESG results. The company strengthened its diversity, equity and inclusion efforts with an 8% increase in women in management to 35% and a 6% increase in the ethnic diversity of its workforce year-over-year. And as the company workforce doubled, employee engagement increased to 76%.

Looking ahead, Blackline Safety's net-zero target, which has full support of the Board, builds upon the momentum already created aligning organizational efforts with meaningful participation in the energy transition. Actions completed over the year to understand emissions, establish a baseline, and put together a pragmatic plan to get to net-zero make the pledge more than just a statement.

ETHICS

Adherence to the highest legal and ethical standards and our reputation for acting responsibly play a critical role in our success as a business. With the guidance and approval of the Board, we have established corporate policies that institutionalize our core values and form the basis of conduct at Blackline Safety.



CODE OF BUSINESS CONDUCT AND ETHICS

Blackline Safety's [Code of Business Conduct and Ethics](#) reflects our commitment to a culture of honesty, integrity, and accountability. It outlines the basic principles and policies with which all service providers are expected to comply. Service providers are our directors, officers, employees, consultants, contractors, contract operators and any other person or company that provides services to Blackline Safety. Annually, we require reaffirmation from our employees that they have read and will comply with the Code, which helps us meet our business practice standards and comply with applicable laws and regulations.



WHISTLEBLOWER POLICY

Our independent [Whistleblower](#) reporting tool is available to report anonymous concerns regarding violations of Blackline's employee handbook and corporate policies, including suspected instances of illegal or questionable accounting, internal control, auditing, or people matters. When issues are reported, we will investigate, address, and respond, where necessary. We do not take adverse actions on persons who report misconduct. We are committed to investigating and addressing all complaints reported.



ANTI-CORRUPTION POLICY

Blackline Safety's [Anti-Corruption](#) policy provides guidelines to encourage ethical behavior in our business conduct and promote compliance with applicable anti-corruption legislation. It applies to employees, officers, and directors of the Company, and reflects the standards to which Blackline Safety expects its partners, agents, consultants, contractors, contractual counterparties and any other third party who can act on behalf of Blackline Safety to adhere when acting on Blackline Safety's behalf.

GHG EMISSIONS & CLIMATE CHANGE

As part of our approach to managing emissions, we are focused on reducing our Scope 1, Scope 2 and Scope 3 greenhouse gas emissions intensity and have established a **corporate wide goal of achieving net-zero emissions for fiscal year 2023.**



As the world transitions to a lower carbon economy, climate-related policies and regulations around carbon emissions are evolving rapidly and are becoming increasingly stringent, requiring our business to adapt as we strive to be a leader in industrial safety as well as environmental stewardship. We are closely monitoring this evolving landscape to identify impacts to our business and potential opportunities resulting from policy change.

We are working to improve the accuracy of our emissions data as methodologies change and technology used to retrieve and analyze environmental data evolves. Improving our data collection processes allows us to improve our reporting, further understand our impacts and identify potential additional emission reduction opportunities. In fiscal 2022, we have engaged a consultant with expertise in the GHG monitoring field to assess our baseline GHG emissions, provide recommendations on ways to reduce our energy inputs and turn to renewable sources as much as possible.

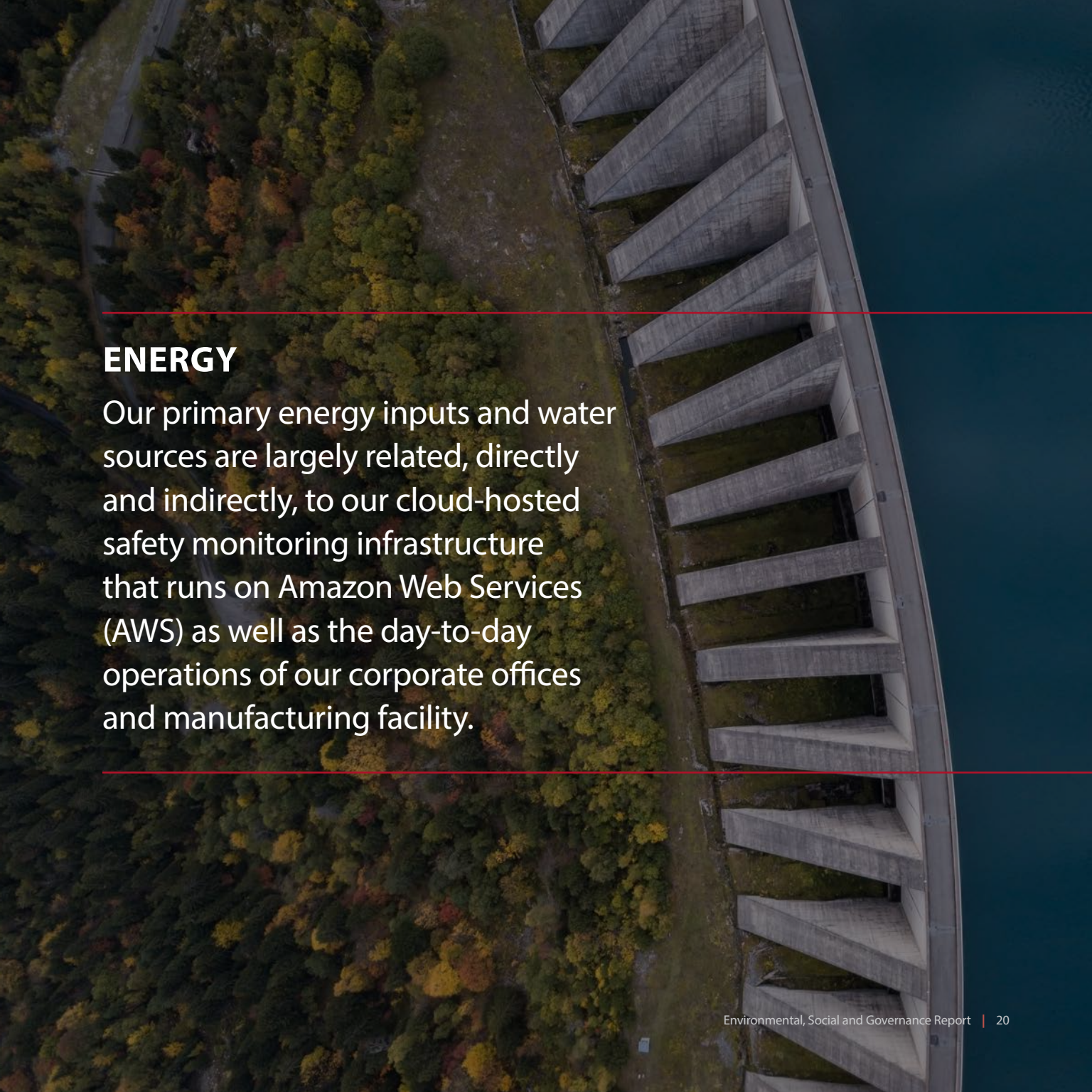
DATA

	FY2021	FY2020
Scope 1 - MT CO ₂ e	215.0	165.6
Scope 2 - MT CO ₂ e*	576.0	227.4
Scope 3 - MT CO ₂ e**	1,606.2	1,661.2
Total (MT CO ₂ e)	2,397.2	2,054.2

*Scope 2 emissions calculated using the location-based method. Use of the market-based method to reflect renewable energy purchases is a priority in future reports.

**Includes categories 3 (Fuel- and Energy-Related Activities, not included in Scope 1 or Scope 2), 6 (Business travel), and 7 (Employee commuting) Scope 3 emissions only using the spend-based method using the Quantis GHG Protocol Scope 3 Evaluator. The identification of additional material upstream/downstream categories and calculation of full Scope 3 emissions data is a priority in future reports.

Our Scope 1 and 2 emissions have increased year-over-year as our workforce grew and returned to the Company's office locations in Canada and the United Kingdom throughout the year in accordance with our *Return to Office Work Plan*. Blackline Safety will continue to closely track emissions from these sources and look for ways to reduce its overall impact in order to achieve its net-zero emissions target by 2023.



ENERGY

Our primary energy inputs and water sources are largely related, directly and indirectly, to our cloud-hosted safety monitoring infrastructure that runs on Amazon Web Services (AWS) as well as the day-to-day operations of our corporate offices and manufacturing facility.